Money Games

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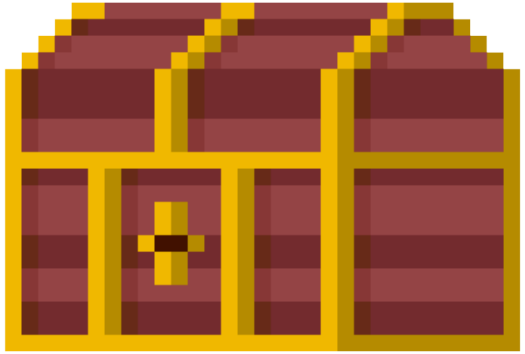
Theory Discipline
Week 6 Seminar

Learning Outcomes



- Understand how economics specifically scarcity, applies to videogames and virtual goods
- Explain the concept of the attention economy and how games compete for player attention
- Distinguish between AAA single purchase and F2P monetisation strategies
- Apply Elizabeth Evans' concept of the impatience economy to freemium game design
- Critically evaluate the ethics of microtransactions and loot-box mechanics

Economics and Scarcity

- “Economics is the science which studies human behaviour as a relationship between ends and scarce means.”

Lionel Robbins, cited in Lehdonvirta & Castronova (2014). Virtual Economies: Design and Analysis. MIT Press, p.1

The Attention Econon

"[O]urs is not truly an information economy. By definition, economics is the study of how a society uses its scarce resources. We are drowning in information, yet constantly increasing our generation of it... There is something else that moves through the Net, flowing in the opposite direction from information, namely attention."

Goldhaber, M.H. (1997). 'The Attention Economy and the Net'. First Monday. 2.

Information is abundant

We produce more than we can ever consume – it is no longer scarce.

Attention IS scarce

Human attention is finite and therefore has economic value.

Attention = Commodity

Competing media and games seek to capture and hold our attention.

Can you think of examples where contemporary media monetises attention?

Are you still watching?

Continue

Exit

ATTENTION, COMMODITY AND LABOUR

1

Attention as Commodity

Human attention, rather than being something freely given, has become a commodity, something with economic value that can be traded.

2

Attention as Labour

Our attention becomes value-producing in an economic sense, making a transition to something more like labour or work.

3

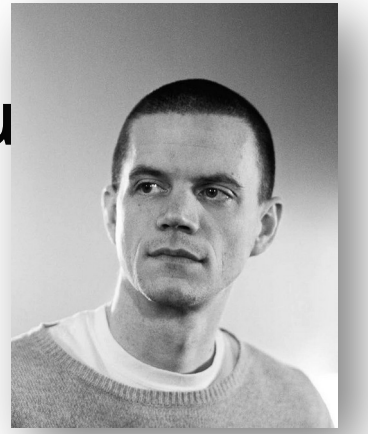
The Attention Economy

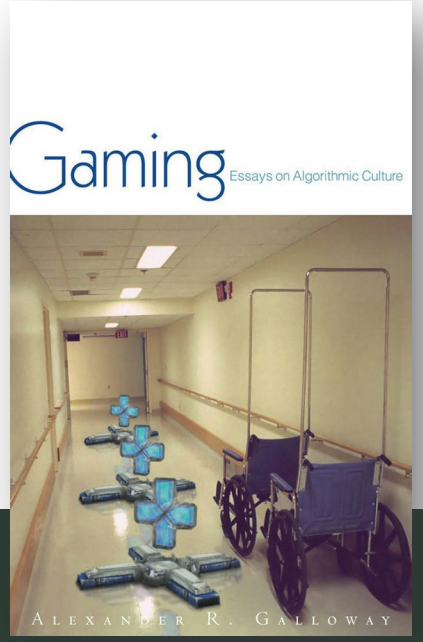
We live in an attention economy where competing sources of information make money not simply because we pay for them, but because our attention itself can be monetised.

Key implication for games: playing a game is a form of productive attention that generates economic value for developers.

- **Video games are an action-based mediu**

Alexander Galloway (2006: 3)





Dead Code

Without our active participation, video games exist only as dead code. They need us to breathe life into them.

Attention First

Video games first require our attention before any action can take place — attention precedes and enables action.

Intense Competition

Video games are involved in an intense form of competition for our attention, for our time, so that we can actively engage with them and generate economic value.

- **What types of games do you usually spend money on? What was your most recent in game purchase?**

The Attention Economy of AAA Single-Purchase G

- *In The Interface Envelope (2015) James Ash suggests that single-purchase AAA games are increasingly designed to monetise player attention by capturing them with their interfaces and providing positive affects (sensations/feelings).*

Interface Design

Games engineer interfaces specifically to draw attention — tutorials, notifications, visual cues that keep players engaged.

Positive Affect

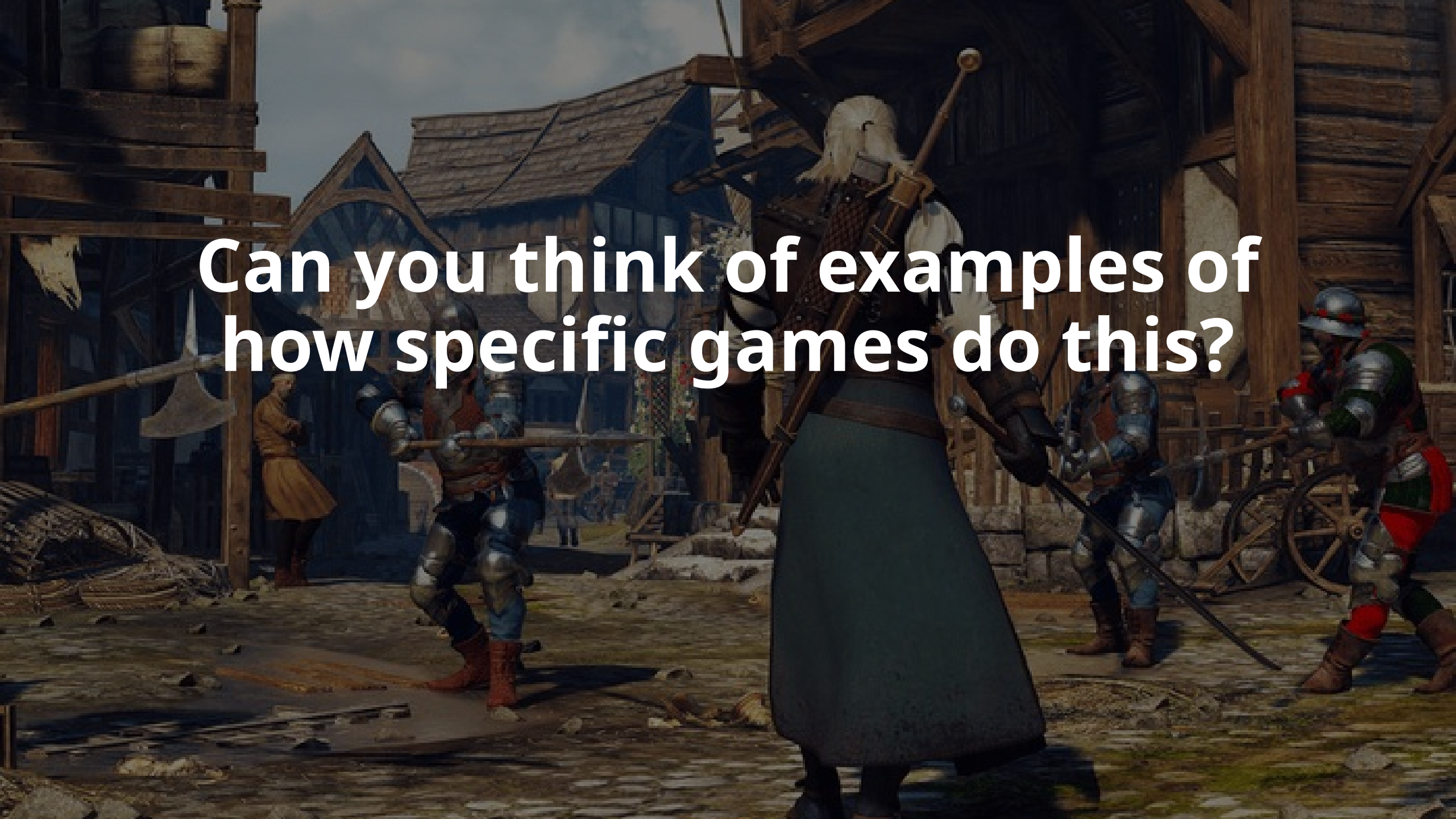
Games generate positive sensations — excitement, satisfaction, curiosity — that make players want to keep playing.

Attention = Revenue

Even for games already purchased, extended play creates value: sequels, DLC, reviews, brand loyalty.

The 'Capture' Model

Interfaces are designed not just to respond to players but to 'capture' them — anticipating desires and creating new ones.



Can you think of examples of how specific games do this?

Witcher 3 & Cyberpunk

- **Open worlds**
- **Countless quests**
- **Notifications**
- **Collectibles**

They are all designed to extend play time beyond the core narrative.

FIFA / EA Sports FC

- Career mode
- Ultimate Team structures
- seasonal content and live events

God of War / Horizon

- Rich lore
- collectables, and skill trees that encourage 100% completion and maximising time with the product.

Free to Play & the Monetisation of Attention

FREE TO PLAY'S ATTENTION ECONOMY

How do free to play games like Fortnite and League of Legends monetise player attention?

Cosmetics & Skins

Purely aesthetic items that do not affect gameplay but create social distinction. Players pay for status within the game's community.

Battle Passes

Seasonal passes offering unlockable content tied to continued play, incentivising daily logins and sustained attention.

Event Crossovers

Collaborations (Fortnite and Star Wars, etc.) create time-limited content that drives urgency and FOMO (fear of missing out).

Ranked Systems

Competitive ranking creates invested attention; players keep playing to improve, protect, or raise their rank.

Social Pressure

Multiplayer structures mean friends influence each other's spending. Cosmetics are most effective when peers can see them.

Champion/Hero Pools

LoL's large champion roster, with new releases, creates ongoing reasons to return and spend currency, real or virtual.

Freemium Games & the Impatience Economy

Elizabeth Evans on play, non-play and how waiting becomes profitable

Evans, E. (2016). The economics of free: Freemium games, branding and the impatience economy. Convergence, 22(6).

PLAY AND NONPLAY

"After an initial period of set-up, in which the player is encouraged to build several items at once and move through levels quickly, each game settles into a pattern that encourages accessing the game for a short period of time many times a day rather than longer, less frequent periods of gameplay. Play is interspersed with nonplay."

Evans (2016), p.569

PLAY

Short, frequent sessions. Designed to be quick and satisfying, then stop.

NONPLAY

Waiting for timers to expire. The productive pause that creates impatience.

Freemium games profit not just from when you play, but from the time in between. **The waiting IS the product**. it creates the impatience that drives spending.

According to Elizabeth Evans, freemium games operate an 'impatience economy'.

AAA Games:	Monetise our attention by engaging us in intense, prolonged periods of focus.
Freemium / Virtual Economies:	Produce impatience in order to generate economic value, money flows from frustration, not enjoyment.
Intentional Obstacles:	Impatience is monetised often in order to circumvent or overcome obstacles intentionally created by the game's rules.
Rule-Based Play Questioned:	The status of games as rule-based activities and pleasures is brought into question by this economic dynamic.
Capitalism & Privilege:	Freemium games reflect and reproduce a moment in contemporary capitalism where individual merit is secondary to economic privilege.

Ethical Microtransactions?

Loot-boxes · Pay-to-win · Fairness · Gambling

Neely, E.L. (2019). Come for the Game, Stay for the Cash Grab: The Ethics of Loot Boxes, Microtransactions, and Freemium Games. Games and Culture.

ETHICAL LOOT-BOXES? (NEELY, 2019)

> *"Fixed-cost functional items can be ethical if they function essentially as shortcuts to attaining items available in the game; in this case, the designer is offering an alternate path through the game to people who have more money and less time."*

Neely (2019)

NEELY'S TAXONOMY OF MICROTRANSACTIONS

Cosmetics Only ✓ Ethical

Skins, emotes; no gameplay effect. Social but not advantageous.

Fixed-Cost Functional ~ Conditional

Pay for items also achievable through play. 'Money vs time' shortcut.

Pay-to-Win ✗ Problematic

Items that provide genuine gameplay advantages unavailable to free players.

Loot Boxes (RNG) ✗ Contested

Random rewards for payment; echoes gambling mechanics. Legally scrutinised.

ARGUMENTS FOR

- Provides an 'alternate path' for players with more money and less time.
- Keeps games free or affordable for players who cannot spend extra.
- Funds ongoing development, content updates and server maintenance.
- Purely cosmetic items harm nobody and are entirely optional.
- Players are not obligated to purchase, they always retain a choice.

ARGUMENTS AGAINST

- Replicates gambling mechanics (loot boxes) — harmful for vulnerable users and minors.
- Reduces games to a system where economic privilege overrides player skill.
- Artificially created scarcity manipulates players into unnecessary spending.
- Erodes the integrity of games as rule-governed competitive spaces.
- Deliberately targets psychological weaknesses and compulsive spending tendencies.

KEY CONCEPTS SUMMARY

Scarcity

Economics studies behaviour in relation to scarce resources. Attention and virtual items both derive value from scarcity. (Robbins / Lehdonvirta & Castronova)

Attention Economy

Competing information sources (including games) monetise the finite resource of human attention. (Goldhaber, 1997)

Attention as Labour

When we play, our attention becomes value-producing, transitioning from leisure to a form of economic work.

AAA Interfaces

Single-purchase games are engineered to capture attention via interfaces and positive affect. (Ash, 2015)

Impatience Economy

Freemium games profit by engineering waiting (nonplay) that creates impatience, then selling the solution. (Evans, 2016)

Ethical Microtransactions

Cosmetic and shortcut items may be defensible; pay-to-win and loot-box mechanics raise serious ethical concerns. (Neely, 2019)

Evans, E. (2016). The economics of free: Freemium games, branding and the impatience economy. Convergence, 22(6). doi.org/10.1177/1354856514567052

Neely, E.L. (2019). Come for the Game, Stay for the Cash Grab: The Ethics of Loot Boxes, Microtransactions, and Freemium Games. Games and Culture. doi.org/10.1177/1555412019887658

Ash, J. (2015). The Interface Envelope: Gaming, Technology, Power. Bloomsbury Academic.

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Lehdonvirta, V. and Castronova, E. (2014). Virtual Economies: Design and Analysis. Cambridge: MIT Press.

Galloway, A. (2006). Gaming: Essays on Algorithmic Culture. University of Minnesota Press.